

FINAL TERM EXAMINATION

Spring 2009

ACC501- Business Finance

Question No: 1 (Marks: 1) - Please choose one

Which of the following refers to a conflict of interest between principal and agent?

- Management Conflict
- Interest Conflict
- Agency Problem
- None of the given options

Question No: 2 (Marks: 1) - Please choose one

Which of the following term refers to the ease and quickness with which assets can be converted to cash?

- Analysis
- Structuring
- Budgeting
- Liquidity

Question No: 3 (Marks: 1) - Please choose one

Product costs do NOT include which of the following?

- Raw material
- Direct labor
- Manufacturing overhead
- Administrative expenses

Question No: 4 (Marks: 1) - Please choose one

Which of the following can be computed by using the information only from balance sheet?

- Equity multiplier
- Inventory turnover
- Receivable turnover
- Return on equity

Question No: 5 (Marks: 1) - Please choose one

Which of the following is CORRECT regarding the present value discount factor?

- It is always greater than 1.0
- It decreases as the discount rate increases
- It is equal to zero when discount rate is zero
- It increases as the time period increases

Question No: 6 (Marks: 1) - Please choose one

How much must be deposited at 8% each of the next 20 years to have Rs. 10,296.44?

- Rs. 225
- Rs. 341
- Rs. 410
- Rs. 452

Question No: 7 (Marks: 1) - Please choose one

In order to compare different investment opportunities (each with the same risk) with interest rates reported in different manners you should:

- Convert each interest rate to an effective annual rate
- Convert each interest rate to a monthly nominal rate
- Convert each interest rate to an annual nominal rate
- Compare the published annual rates

Question No: 8 (Marks: 1) - Please choose one

You have Rs. 1,000 to invest. You have 2 choices; first is the savings account A, which earns 8.75 percent compounded annually and second is the savings account B, which earns 8.50 percent compounded monthly. Which account should you choose and why?

- Account A; because it has a higher effective annual rate
- Account B; because it has a higher effective annual rate
- Account A; because it has the higher quoted rate
- Account B; because the quoted rate is higher

Question No: 9 (Marks: 1) - Please choose one

What will be the value of a Rs. 1,000 face-value bond with an 8% coupon rate at 8% required rate of return?

- More than its face value
- Less than its face value
- Equal to its face value
- Cannot be determined without more information

Question No: 10 (Marks: 1) - Please choose one

Which of the following statement is FALSE regarding debt?

- Debt is not an ownership interest in the firm.
- Unpaid debt can result in bankruptcy or financial failure.
- Debt provides the voting rights to the bondholders.
- Corporation s payment of interest on debt is fully tax deductible.

Question No: 11 (Marks: 1) - Please choose one

The relationship between real and nominal returns is described by the:

- M&M Proposition
- Capital Asset Pricing Model
- Fisher s Effect
- BCG Matrix

Question No: 12 (Marks: 1) - Please choose one

Investors demand a higher yield as compensation to the risk of possible default.

This extra premium is called:

- Default risk premium
- Taxability premium
- Interest rate risk premium
- Inflation risk premium

Question No: 13 (Marks: 1) - Please choose one

For which type of stocks, the dividends grow at a constant rate?

- Zero Growth Stocks
- Constant Growth Stocks
- Non-Constant Growth Stocks
- None of the given options

Question No: 14 (Marks: 1) - Please choose one

In which type of voting, each shareholder is entitled one vote per share times the number of directors to be elected?

- Straight Voting
- Statutory Voting
- Cumulative Voting
- None of the given options

Question No: 15 (Marks: 1) - Please choose one

In which of the following procedure of voting for a company's directors, each shareholder is entitled to one vote per share ?

- Straight Voting
- Proportional Voting
- Cumulative Voting
- None of the given options

Question No: 16 (Marks: 1) - Please choose one

Which of the following is the price that the dealer wishes to pay for a share ?

- Simple Price
- Bid Price
- Strike Price
- Complex Price

Question No: 17 (Marks: 1) - Please choose one

Suppose the initial investment for a project is Rs. 160,000 and the cash flows are Rs. 40,000 in the first year and Rs. 90,000 in the second and Rs. 50,000 in the third. The project will have a payback period of:

- 2.6 Years
- 3.1 Years
- 3.6 Years
- 4.1 Years

Question No: 18 (Marks: 1) - Please choose one

The XYZ Corporation is considering an investment that will cost Rs. 80,000 and have a useful life of 4 years. During the first 2 years, the net incremental after-tax cash flows are Rs. 25,000 per year and for the last two years they are Rs. 20,000 per year. What is the payback period for this investment ?

- 3.2 Years
- 3.5 Years
- 4.0 Years
- Cannot be determined from the given information

Question No: 19 (Marks: 1) - Please choose one

Which of the following measures the present value of an investment per dollar invested ?

- Net Present Value (NPV)
- Average Accounting Return (AAR)
- Internal Rate of Return (IRR)
- Profitability Index (PI)

Question No: 20 (Marks: 1) - Please choose one

Which of the following set of cash flows should be considered in the decision at hand?

- Relevant Cash Flows
- Incremental Cash Flows
- Negative Cash Flows
- All of the given options

Question No: 21 (Marks: 1) - Please choose one

_____ Cost is an outlay that has already occurred and hence is not affected by the decision under consideration.

- Sunk
- Opportunity
- Fixed
- Variable

Question No: 22 (Marks: 1) - Please choose one

The overall (weighted average) cost of capital is composed of a weighted average of :

- The cost of common equity and the cost of debt
- The cost of common equity and the cost of preferred stock
- The cost of preferred stock and the cost of debt
- The cost of common equity, the cost of preferred stock, and the cost of debt

Question No: 23 (Marks: 1) - Please choose one

Over the past four years, a company has paid dividends of Rs. 1.00, Rs. 1.10, Rs. 1.20 and Rs. 1.30 respectively. This pattern is expected to continue into the future. This is an example of a company pay a dividend that grows:

- By 10 percent each year
- At a constant rate
- By a decreasing amount
- At a decreasing rate

Question No: 24 (Marks: 1) - Please choose one

Which of the following statement is INCORRECT regarding Average Accounting Return?

- AAR is a rate that makes the NPV equal to zero
- AAR is a measure of accounting profit relative to book value
- An investment is acceptable if its AAR is greater than a benchmark AAR
- None of the given options

Question No: 25 (Marks: 1) - Please choose one

Which of the following M&M propositions states that it is completely irrelevant how a firm chooses to arrange its finances ?

- 1st proposition
- 2nd proposition
- 3rd proposition
- None of the given options

Question No: 26 (Marks: 1) - Please choose one

SNT Corporation has a WACC of 16% (ignoring taxes). It can borrow at 9% . Assuming that SNT has a target capital structure of 75% equity and 25% debt, what will be its cost of equity ?

- 13.00 %
- 15.23 %
- 18.33 %
- 20.98 %

Question No: 27 (Marks: 1) - Please choose one

Which of the following activities decreases cash ?

- Increasing current liabilities
- Decreasing long term debt
- Decreasing fixed assets
- Increasing equity

Question No: 28 (Marks: 1) - Please choose one

Which of the following describes how a product moves through the current asset accounts ?

- Cash Cycle
- Operating Cycle
- Current Cycle
- None of the given options

Question No: 29 (Marks: 1) - Please choose one

Which of the following is the time between sale of inventory and collection of receivables ?

- Inventory period
- Accounts receivable period
- Collection period
- Accounts payable period

Question No: 30 (Marks: 1) - Please choose one

Suppose you have Rs. 10,000 on deposit. One day, you write a cheque for Rs. 2,000 and deposit Rs. 4,000. What is your disbursement float ?

- Rs. 4,000
- + Rs. 2,000
- Rs. 2,000
- + Rs. 4,000

Question No: 31 (Marks: 1) - Please choose one

Suppose you have Rs. 70 in stock A and Rs. 120 in another stock B in your portfolio. Stock A has an expected return of 25% and stock B has an expected return of 20%. What will be the portfolio expected return ?

- 18.27%
- 21.84%
- 22.50%
- 25.13%

Question No: 32 (Marks: 1) - Please choose one

Which of the following statement(s) is (are) true regarding Return on Investment?

- One of the responsibilities of the financial manager is to assess the value of the proposed investment
- The return consists of income earned and capital gain
- The dollar returns are the sum of the cash received and the change in dollar value of the asset
- All of the given options

Question No: 33 (Marks: 1) - Please choose one

The MC Inc. purchased a share of common stock exactly one year ago for Rs. 45. During the past year the common stock paid an annual dividend of Rs. 2.40. The firm sold the stock today for Rs. 80. What is the rate of return the firm has earned?

- 5.3%
- 194.2%
- 83.11%
- 94.2%

Question No: 34 (Marks: 1) - Please choose one

What will be the cash inflow if we have sales of Rs. 400,000 and accounts receivable are increased by Rs. 70,000?

- Rs. 70,000
- Rs. 230,000
- Rs. 330,000
- Rs. 470,000

Question No: 35 (Marks: 1) - Please choose one

What will be the cash inflow if we have sales of Rs. 300,000 and accounts receivable are decreased by Rs. 70,000?

- Rs. 70,000
- Rs. 230,000
- Rs. 370,000
- Rs. 470,000

Question No: 36 (Marks: 1) - Please choose one

Suppose a firm borrows Rs. 800,000 at 7%. What will be the total interest bill per year if tax rate is 34% ?

- Rs. 19,040
- Rs. 36,960

- Rs. 56,000
- Rs. 800,000

Question No: 37 (Marks: 1) - Please choose one

Which one of the following motives refers to the need for holding cash as a safety margin to act as a financial reserve?

S

- speculative motive
- Transaction motive
- Precautionary motive
- Personal motive

Question No: 38 (Marks: 1) - Please choose one

Suppose market value exceeds book value by Rs. 225,000. What will be the aftertax proceeds if there is a tax rate of 34 percent?

- Rs. 105,600
- Rs. 148,500
- Rs. 191,000
- Rs. 225,000

Question No: 39 (Marks: 1) - Please choose one

Suppose you have bought 100 shares of a corporation one year ago at Rs. 18 per share. Over the last year, you have received a dividend of Rs. 2 per share. At the end of the year, the stock sells for Rs. 27. As per given information, what will be the capital gains yield?

- 15%
- 25%
- 35%
- 50%

Question No: 40 (Marks: 1) - Please choose one

SNT Company purchased a vehicle for Rs. 450,000. Based on historical averages, this vehicle is worth 25% of the purchase price now and it is being sold at this price. What is the vehicle's market value ?

- Rs. 14,875
- Rs. 112,500
- Rs. 337,500
- Rs. 230,000

Question No: 41 (Marks: 1) - Please choose one

Standard deviations for Investment A and Investment B are 19% and 28% respectively. This indicates that:

- Investment A is more volatile than Investment B
- Investment A is equally volatile to Investment B
- Investment B is less volatile than Investment A
- Investment B is more volatile than Investment A

Question No: 42 (Marks: 1) - Please choose one

Which of the following statement is INCORRECT regarding financial leverage ?

- Financial leverage can dramatically alter the payoffs to the shareholders.
- Financial leverage refers to the extent to which a firm relies on the debt.
- Financial leverage must affect the overall cost of capital in any condition.
- Financial leverage may not affect the overall cost of capital.

Question No: 43 (Marks: 3)

What is the difference between dealer and broker ?

Question No: 44 (Marks: 3)

What does Static Theory of Capital Structure state?

Question No: 45 (Marks: 3)

Suppose there is an expected rate of 20%. What will be the risk premium if risk free rate is (i) 8% and (ii) 12% ?

Question No: 46 (Marks: 5)

What is the difference between Leverage and Un-levering?

QUESTION 47 (10 Marks)

Using the following information, calculate the inventory period, accounts receivable period, and accounts payable period.

Account	Balance	Period
Inventory	100,000	30 days
Accounts Receivable	200,000	45 days
Accounts Payable	150,000	30 days

QUESTION 48 (10 Marks)

Using the following information, calculate the inventory period, accounts receivable period, and accounts payable period.

Account	Balance	Period
Inventory	100,000	30 days
Accounts Receivable	200,000	45 days
Accounts Payable	150,000	30 days

From the given information, find out:

- inventory period
- Accounts receivable period
- Accounts payable period

(iv) Operating cycle

(v) Cash cycle